

Industry News

Semiconductor equipment spending to pick up globally

The outlook for the semiconductor equipment industry is beginning to improve, as it appears capital equipment spending has bottomed out in the second quarter of 2009. Market research firm Gartner predicts a gradual improvement on a quarter-by-quarter basis throughout the rest of the year and into 2010.

However, the current uptick in semiconductor sales will not be sufficient to overcome the effects of industry-wide overcapacity and low utilisation rates in the short term.

Worldwide semiconductor capital equipment spending is on pace to total \$24.3 billion in 2009—a 44.8 per cent decline from 2008 spending of \$44 billion. In 2010, it is forecast to reach \$29.4 billion—a 20.9 per cent increase from 2009.

IT services revenue grow 8.2 per cent

Worldwide IT services revenue totalled \$806 billion in 2008—an 8.2 per cent increase from 2007 revenue of \$745 billion. According to Gartner, vendors had six to eight months of 'business as usual' and then approximately four months encountering the beginning of the global economic downturn.

The only two segments of the market that grew less than forecast were IT management and process management. This is particularly surprising, because in economic hard times the potential cost savings from outsourcing usually keep this market segment buoyant. However, apparently buyer hesitation to commit to the long-term requirements of outsourcing agreements took precedence in 2008.

Across all IT services, IBM continued to be the worldwide leader with 7.3 per cent of the market. With its ac-

Former iPod boss to lead Palm

Palm has promoted Jon Rubinstein to lead the company as chairman and CEO upon the departure of Ed Colligan, who is stepping down after 16 years of leadership at the company. Rubinstein was instrumental in the creation of the iPod—the portable music and video device first sold by Apple Computer in 2001. He left his position as senior vice president of Apple's iPod division in 2006 and joined Palm as executive chairman in October 2007.

Kumar to head Meridian Mobile's India operations

UK-based mobile handset maker Meridian Mobile has appointed Prem Kumar as chief executive officer for its India operations. With India having embarked on a renewed growth phase, Kumar has come from the board of the parent company to focus on spearheading the company's growth strategy for India given the emerging landscape and the new opportunities afforded by the telecom sector. He brings with him over 27 years

of experience in consumer goods, technology and management consulting, in both India and abroad.

Moorthy becomes Microchip CCO

Microchip Technology has promoted Ganesh Moorthy to the position of executive vice president and chief operating officer. Moorthy started his business career at Intel in 1981 and worked there for 19 years, rising through various engineering and management positions. He joined Microchip in 2001 as vice president of the advanced microcontroller and automotive division, and in 2006 became executive vice president of the company.

Adhalrao wins in Lok Sabha elections

Shivaji Adhalrao Patil, founder of Dynalog (India), has won in the recently held Lok Sabha elections. A member of Parliament from the Khed district of Maharashtra, Patil is heavily involved in developmental projects in and around the area. He has also won many awards for his entrepreneurial skills.

quisition of EDS, Hewlett Packard (HP) moved into the No. 2 position, but with the difficulties of integrating the EDS business, its revenue grew only 1.9 per cent—considerably below the overall market growth rate.

Indian mobile subscriber base to almost double by 2013

Gartner forecasts the mobile subscriber base in India to increase from 452 million in 2009 to 771 million connections by 2013. India is expected to remain the world's second largest wireless market after China in terms of mobile connections.

"The Indian mobile industry has now moved out of its hyper growth mode, but it will continue to grow at double-digit rates for next three years

as operators focus on rural parts of the country," said Madhusudan Gupta, senior research analyst, Gartner. "Growth will also be triggered by increased adoption of value-added services, which are relevant to both rural and urban markets."

The market continues to be dominated by prepaid subscribers. Prepaid connections accounted for more than 93 per cent of all mobile connections in 2008 and are expected to grow to more than 96 per cent of the connection base by 2013.

Thriving too: test equipment

The positive trends in the telecom industry bode well for India's general-purpose test equipment market as these testers are employed for a variety of purposes ranging from R&D

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